Telangana State Industrial Incentives for MSMEs (T-IDEA and T-PRIDE Guidelines)

Issuing Authority: Industries & Commerce Department, Government of Telangana

1. Industrial Policy Framework of Telangana

The Government of Telangana, under its landmark industrial framework (TS-iPASS and Telangana State Industrial Policy), provides a comprehensive package of fiscal incentives to support Micro, Small, and Medium Enterprises. These incentives operate under two flagship programs: T-IDEA (Telangana State Industrial Development and Entrepreneur Advancement) for general MSMEs and T-PRIDE (Telangana Program for Rapid Incubation of Dalit Entrepreneurs) for SC/ST and specially-abled entrepreneurs.

2. T-IDEA Fiscal Incentives for MSMEs

Under T-IDEA, eligible Micro and Small Enterprises established in Telangana receive:

• Investment Subsidy: 15% investment subsidy on fixed capital investment (plant and machinery), up to a maximum of Rs. 20 Lakhs.

• Stamp Duty Reimbursement: 100% reimbursement of stamp duty and transfer duty paid on purchase of land/sheds or lease of industrial property.

• Power Tariff Concession: Power subsidy of Rs. 1.00 per unit for a period of 5 years from the date of commercial production.

• Land Cost Rebate: 25% rebate on land cost in industrial parks developed by Telangana State Industrial Infrastructure Corporation (TSIIC).

• SGST Reimbursement: 100% net SGST reimbursement for Micro and Small Enterprises for a period of 5 years (capped at 100% of fixed capital investment).

3. T-PRIDE Enhanced Incentives for SC/ST Entrepreneurs

T-PRIDE provides affirmative financial incentives to encourage inclusive industrialization:

• Enhanced Investment Subsidy: 35% subsidy on fixed capital investment, up to Rs. 75 Lakhs for Micro and Small units owned by SC/ST entrepreneurs; an additional 5% subsidy is provided for Women SC/ST entrepreneurs.

• Power Subsidy: Concessional power tariff of Rs. 1.50 per unit for 5 years.

• Interest Subvention (Pavala Vaddi): Interest subsidy on term loans reducing effective interest rate to 3% (Pavala Vaddi scheme) for up to 5 years.

• Land Allocation: 20% of plots in all TSIIC industrial estates are reserved exclusively for SC/ST entrepreneurs with 33% land cost rebate.

4. Skill Development and Quality Certification Rebates

Telangana MSMEs receive 50% reimbursement of the cost of obtaining national or international quality certifications (e.g. ISO 9000, ISO 14000, BIS, ZED), up to a maximum of Rs. 2 Lakhs per unit. In addition, 50% reimbursement of patent registration costs (up to Rs. 2 Lakhs) is provided.

5. Single-Window Clearance via TS-iPASS

All applications for clearances, approvals, subsidies, and incentive disbursements are processed through TS-iPASS (Telangana State Industrial Project Approval and Self-Certification System) at ipass.telangana.gov.in. Under the TS-iPASS Act, all approvals are time-bound (guaranteed within 15 to 30 days) with deemed approvals in case of bureaucratic delay.